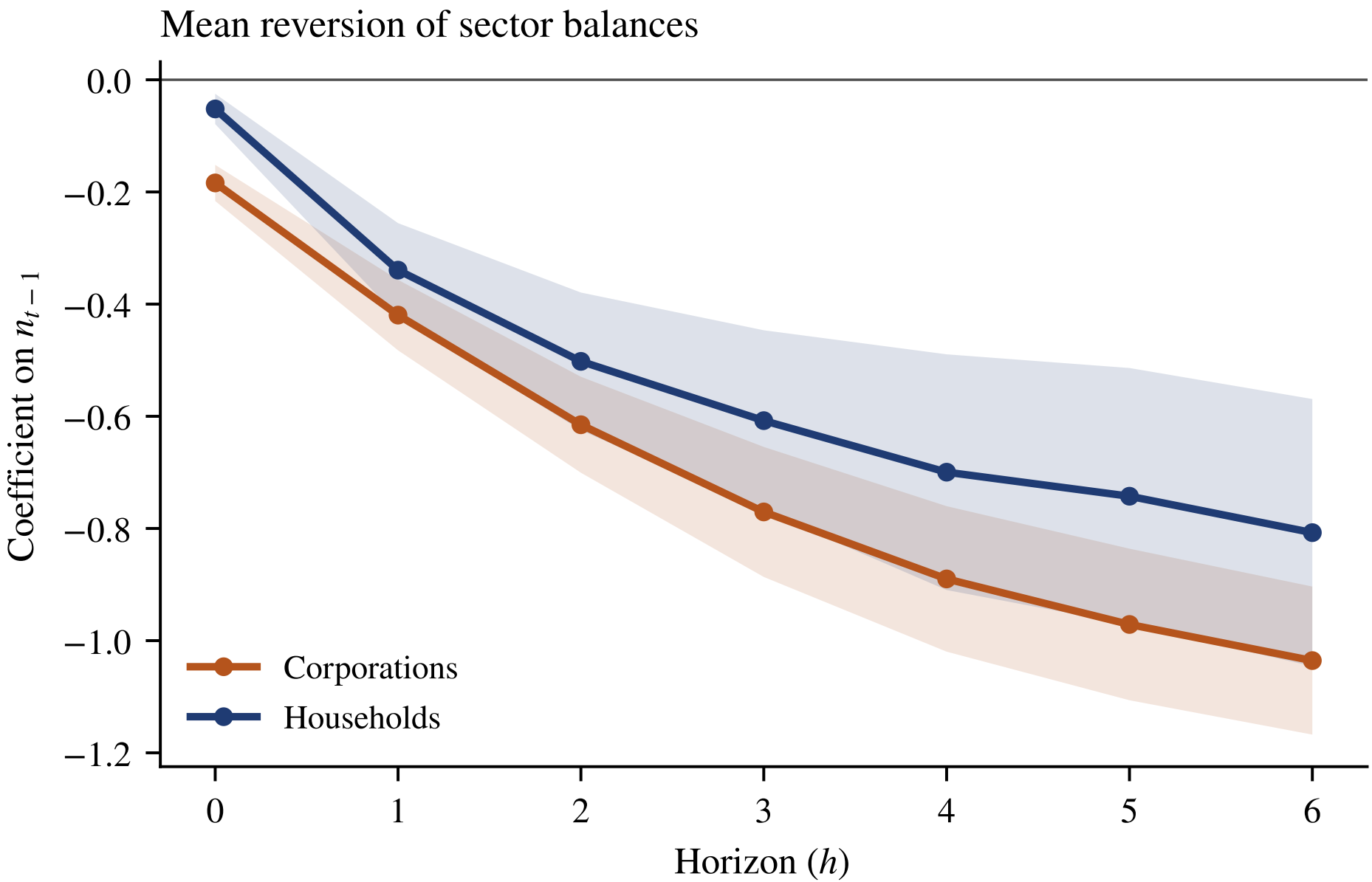

Notes: Coefficient on the lagged level of the own-sector balance in the specification with lagged changes ($n_{t+h} - n_{t-1}$ on the own sector's components, two lags of the four components, GDP growth and Δn, country and year fixed effects). Zero at every horizon under a unit root. Shaded areas: 90 percent country-clustered intervals.